PEARSON EDEXCEL

INTERNATIONAL AS & A LEVEL

BUSINESS

Exam Structure & Answering Guide

UNITS 1-4	IAS + IAL	2026-27

Built for independent study

Understand every question type, use the writing frameworks, study authentic answers, practise independently and identify your next improvement.

Inside this guide

Paper maps | timing | application | analysis | evaluation | PEAK | 5x5 Challenge | templates | model answers | self-review

Student name	
Class / teacher	

Start here: your IAS and IAL key

Know which qualification stage, units and question types apply before using any framework.

IAS

International Advanced Subsidiary. Usually completed in Year 12 through Unit 1 and Unit 2. These units also contribute to the full IAL.

IAL

International Advanced Level. The full qualification combines Units 1-4. Year 13 normally completes Unit 3 and Unit 4.

UNITS 1 & 2

IAS paper style: 2-mark Define; 4-mark Explain, Calculate or Construct; 6-mark Analyse; 8-mark Discuss; 10-mark Assess; 20-mark Evaluate.

UNITS 3 & 4

IAL Year 2 paper style: 4-mark questions; 8-mark Discuss; two 12-mark Assess questions; and two 20-mark Evaluate questions.

BOOKLET COLOUR KEY

IAS / SHORTER TARIFFS	IAS + IAL SKILLS	IAL / 12 MARKS	EVALUATION

AO1 KNOWLEDGE

Accurate business concepts and understanding.

AO2 APPLICATION

Evidence selected and used in the argument.

AO3 ANALYSIS

Logical cause, consequence and business impact.

AO4 EVALUATION

Supported judgement after weighing significance and conditions.

Important

The number of paragraphs shown in planning frames is a scaffold, not a Pearson rule. Marks are awarded for the quality of the whole response.

Contents

Use the colours and page ranges to locate the support you need quickly.

PART	SECTION	PAGES
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How the original resources are used

The original templates, questions, model answers, awarded marks and teacher comments are retained in the relevant chapters. New visual pages explain how to use them independently.

How to use this booklet independently

Do not simply read the model answers. Use them to improve your own decisions and writing.

1 FIND

Identify the command word and mark tariff. Go directly to the matching chapter.

2 PLAN

Complete the original writing framework before reading the model response.

3 COMPARE

Highlight your context, analytical chains, balance and judgement. Compare these with the example.

4 IMPROVE

Write one precise next action and apply it to a new question within seven days.

THE RETRIEVAL RULE

Close the booklet first

Before checking a framework, try to recall the structure from memory. Retrieval strengthens independence; rereading alone can create false confidence.

Use answers as evidence, not scripts

Model answers demonstrate choices. Do not memorise complete essays. Notice how evidence is selected, developed and weighed against competing arguments.

Record scores by skill

After practice, record separate strengths in knowledge, application, analysis and evaluation. A total mark alone does not tell you what to improve.

Know the papers

Every unit is 80 marks and two hours. The question mix changes after IAS.

IAS | YEAR 12 | UNITS 1 & 2

DEFINE	EXPLAIN / CALCULATE / CONSTRUCT	ANALYSE	DISCUSS	ASSESS	EVALUATE
2	4	6	8	10	20

IAL | YEAR 13 | UNITS 3 & 4

4-MARK SKILL	4-MARK SKILL	DISCUSS	ASSESS	ASSESS	EVALUATE	EVALUATE
4	4	8	12	12	20	20

WHAT DISAPPEARS?

There are no 2-mark definitions, 6-mark analyses or 10-mark assessments in Units 3 and 4.

WHAT INCREASES?

The 10-marker becomes two 12-mark assessments and the paper contains two separate 20-mark evaluations.

Cumulative knowledge

Unit 2 can draw on Unit 1. Unit 3 can draw on Units 1 and 2. Unit 4 can draw on Units 1, 2 and 3.

Original visual exam map: IAS

The key arguments from the original resource, updated and redrawn for quicker independent reference.

2 DEFINE

Give an accurate, complete definition. No application or analysis is required; an example may clarify meaning but does not earn an extra mark by itself.

4 EXPLAIN

State the required reason or factor, use two pieces of direct context and develop the cause, effect or consequence.

4 CALCULATE

Select the correct formula and data, show all working, then check currency, percentage, units and rounding.

4 CONSTRUCT

Use accurate labels, original curves/equilibrium, the correct change or shift, and the resulting new equilibrium.

6 ANALYSE

Build two distinct applied chains. Each chain needs a clear point, contextual evidence and a logical cause or consequence.

8 DISCUSS

Develop both sides using context and logical chains. Balance the argument; a separate conclusion is not required.

10 ASSESS

Use balanced, wide-ranging applied reasoning and finish with a supported judgement that answers the exact question.

20 EVALUATE

Compare significant arguments or options, judge throughout and provide a justified, conditional solution or recommendation.

Best-fit reminder

For levels-based questions, examiners judge the quality of the complete response. One feature alone does not guarantee a level.

IAL Year 2 visual exam map

The original higher-tariff guidance, clarified for Units 3 and 4.

12 MARKS | ASSESS

FOCUS

Use more than one relevant argument, contextualise both sides and develop each chain to a meaningful business impact.

COMPETING ARGUMENTS

Balance means recognising why another factor, option or outcome may be stronger under different circumstances.

SUPPORTED JUDGEMENT

Decide which argument is most important in this context and explain why it outweighs the strongest alternative.

AVOID

Do not treat 12 marks as a 10-marker with one extra paragraph. Depth, comparison and support matter more than paragraph count.

20 MARKS | EVALUATE

READ THE CHOICE

Identify whether the question contains two options, factors or elements. Keep returning to the exact decision required.

DEVELOP AND WEIGH

Use contextual arguments and counterarguments. Explain consequences, judge significance and consider operational impact.

CONCLUDE WITH 4Ws

Which option wins? Why? Why does it outweigh the alternative? What does the decision depend on?

TIME AND CONDITIONS

Consider short term versus long term, objectives, finance, stakeholders and changes that could reverse the judgement.

The three types of 4-mark question

The tariff is the same, but the method changes with the command word.

EXPLAIN

Identify the required reason, factor, benefit or impact. Use two distinct pieces of context and develop a logical consequence.

CALCULATE

Write the formula, select the correct figures, show the working and give the answer with the requested units or decimal places.

CONSTRUCT

Draw an accurate diagram: axes, curves, original equilibrium, one correct shift and the new equilibrium.

4-MARK DECISION CHECK

If the question says EXPLAIN...

Do not spend time defining the key term. The knowledge mark is for the reason or factor that answers the question.

If the question says CALCULATE...

Workings protect marks. Check the unit, percentage sign, currency and rounding instruction.

If the question says CONSTRUCT...

Use a ruler. Label Price and Quantity and show only the shift required by the question.

A working timing plan

Use this as a training guide, then adjust slightly to match your strengths.

MARK TARIFF	WORKING TIME
2	2 minutes
4	5 minutes
6	7 minutes
8	10 minutes
10	13 minutes
12	16 minutes
20	28-30 minutes

READ

Use the opening minutes to identify the focus, stakeholder, timeframe, data and command word.

PLAN

For 10-, 12- and 20-mark questions, sketch the competing arguments and likely judgement before writing.

CHECK

Protect final minutes for units, question focus, missing counterbalance and unsupported conclusions.

What the assessment objectives look like

Markers use best fit on levels-based questions: the whole response matters.

AO1 KNOWLEDGE

Accurate business concepts, theories, calculations and terminology.

AO2 APPLICATION

Relevant evidence used to support the argument, not copied or name-dropped.

AO3 ANALYSIS

Logical cause-and-effect chains that reach a meaningful business consequence.

AO4 EVALUATION

The significance of competing arguments, leading to a supported judgement.

BEST-FIT MARKING

First: find the level

The examiner reads the full response and identifies the level that best describes its overall quality.

Then: place the mark

The examiner decides where the answer sits inside that level. Stronger consistency, context and development move it upwards.

Quality beats counting

A fixed number of paragraphs does not guarantee a level. A few well-developed, relevant arguments can outperform a longer list.

The independent practice cycle

Turn every practice question into evidence about what to do next.

RECALL

Without the booklet, write the structure and success criteria from memory.

ATTEMPT

Complete the question under a realistic time limit. Do not interrupt the attempt to check notes.

COMPARE

Use the template, mark scheme and model answer to identify precise differences.

REWRITE

Improve one paragraph or conclusion. Do not automatically rewrite the entire answer.

RETEST

Answer a different question using the same skill within seven days.

RECORD

Track the mark, strongest AO and next action on the final pages of this booklet.

The key question

Can you explain exactly why the improved version is stronger? If not, reread the relevant chapter and compare the two versions again.

The application ladder

High-level application is evidence that actively drives the reasoning.

4 COMPARATIVE

Uses evidence to compare significance, feasibility, risk or short- and long-term effects.

3 INTEGRATED

Embeds specific qualitative or quantitative evidence inside a developed chain.

2 RELEVANT

Uses a fact from the extract, but does not fully explain why it changes the argument.

1 NAME-DROP

Mentions the business or copies evidence without using it. This is not secure application.

THE APPLICATION TEST

Ask: "So what does this evidence change?"

If the evidence does not strengthen, qualify or challenge the point, it has not yet been used effectively.

Use SCOPE and PADLS to mine the extracts

These original tools help you find qualitative and quantitative application quickly.

SCOPE | QUALITATIVE CONTEXT

S	**Size & sector**	Revenue, scale, manufacturer, retailer or service
C	**Costs, customers & competition**	Fixed/variable costs, customer groups, market and rivals
O	**Ownership & objectives**	Private/public ownership, growth, profit or sales objectives
R	**Resources**	Finance, people, intellectual property, products and services
E	**External environment**	Legislation, economy, technology, society and global change

PADLS | QUANTITATIVE CONTEXT

P Patterns	A Anomalies	D Data manipulation	L Links & limitations	S Support for the argument
		Do something with the data Calculate a change, compare two figures, identify a trend or explain why the data strengthens one argument more than another.		

Build a chain that reaches an impact

Analysis is not a list of connectives. Each step must be logically caused by the one before it.

POINT / CAUSE	CONTEXT	EFFECT	IMPACT	CONDITIONAL CHECK

POINT	Zara increases labour productivity.
CONTEXT	Its fast-fashion factories produce large volumes for frequent store deliveries.
EFFECT	Output per worker rises, reducing average labour cost per item.
IMPACT	Zara can protect its margin or lower prices, strengthening competitiveness.
CHECK	This depends on whether quality and delivery speed are maintained.

STOP

"Costs fall and profit rises." The intermediate business reasoning is missing.

STRETCH

Explain which cost changes, why, the size/timing of the effect and what could weaken the outcome.

Evaluation: test the significance of the argument

AO4 asks how far the argument remains convincing once the circumstances are considered.

STAKEHOLDERS
Who gains, who loses and whose objectives matter most?

TIME
Is the effect different in the short term and long term?

OBJECTIVES
Does the argument support the business's actual priorities?

SCALE & FINANCE
Can the business afford and implement the decision?

COMPETITION
How easily can rivals respond or remove the advantage?

EXTERNAL CHANGE
Could economic, legal, social or technological conditions change the result?

Weak evaluation

"However, this depends on the business." The condition is not identified or explained.

Stronger evaluation

"The benefit is likely to be greater for a cash-rich multinational because it can absorb the short-term investment cost; a small business may face damaging liquidity pressure."

PEAK: a paragraph-planning routine

Use it to organise your thinking, then write naturally rather than showing the labels.

P POINT

Make a clear argument that directly answers the question.

E EVIDENCE

Select precise contextual evidence that genuinely supports the point.

A ANALYSIS

Develop the cause, effect and final impact on the business or stakeholder.

K KEY JUDGEMENT

Explain how significant the point is and the condition that could strengthen or weaken it.

PEAK IN ONE PARAGRAPH

Point + evidence

Automation may reduce Amazon's unit costs because its warehouses process very high order volumes.

Analysis

Fewer labour hours per order may improve operating margins and allow more competitive delivery prices.

Key judgement

However, the benefit depends on the utilisation of the technology; if demand falls, the high fixed investment could increase average costs.

Important

PEAK is a school planning aid, not a Pearson-prescribed formula. The mark is determined by the quality of the whole response.

The 20-mark 5x5 Challenge

Use the challenge to deepen paragraphs; do not sacrifice quality merely to reach a paragraph count.

1 POINT

A clear argument answering the question.

2 BECAUSE

Relevant business theory explaining why the point may occur.

3 CHAIN

At least two logically linked analytical steps.

4 APPLICATION

Specific business, product, market or quantitative evidence.

5 JUDGEMENT

How significant the point is and what the result depends on.

RECOMMENDED ESSAY MAP

ARGUMENT	COUNTER	ALTERNATIVE	LIMITATION	CONCLUSION

Final rule

A top-band response does not merely state judgements. It supports them with context and explains the significance of competing arguments.

Make the conclusion add value: the 4Ws

A conclusion should decide, justify and qualify — not repeat the body paragraphs.

WHICH?
State the option, factor or judgement that wins.

WHY?
Give the strongest contextual reason for the decision.

WHY DEVELOPED?
Explain why that reason outweighs the most important competing argument.

WHAT DOES IT DEPEND ON?
Identify a condition that could change or limit the judgement.

CONCLUSION FRAME

Which + why
Overall, Option A is more suitable because _____, which matters particularly to this business because _____.

Why developed
This outweighs _____ because the evidence shows _____.

Depends on
However, the final decision depends on _____. If _____ changes, Option B may become more suitable because _____.

Avoid
“In conclusion, there are advantages and disadvantages.” This does not answer the question or establish significance.

Original visual argument bank

Use these prompts to extend reasoning, vary business impacts and make evaluation conditional.

LINKED-STRAND CONNECTIVES

Because | leads to | therefore | as a result | consequently | which could | which might | equally | whereas | instead of | clearly | unlike. Use a connective only when the next step is logically caused.

"IT DEPENDS ON" IDEAS

Long or short term | economic environment | stakeholder support | objectives | competition | finance and liquidity | productivity | staff skills | structure | leadership | culture | GDP | consumer income | product portfolio.

BUSINESS IMPACTS BEYOND PROFIT

Competitive advantage | motivated employees | brand loyalty and awareness | satisfied stakeholders | profit margins | market share | productivity | economies of scale | reputation | dividends | customer numbers | break-even | cash flow.

CONTEXT TOOLS

Use SCOPE for qualitative evidence: Size and sector; Costs, customers and competition; Ownership and objectives; Resources; External environment. Use PADLS for patterns, anomalies, data manipulation, links/limitations and support.

MAKE THE PROMPT EARN ITS PLACE

Weak

"This leads to more profit." The impact is generic and the intermediate reasoning is missing.

Stronger

"Lower labour cost per unit may protect the operating margin, allowing the business to reduce price without weakening cash generation."

Best

Add a condition: explain when the effect is likely to be larger, smaller or reversed for this particular business.

One-page exam checklist

Use this immediately before timed practice and again during the final check.

QUESTION	FINAL CHECK
2 Define	Accurate, complete definition; no context required.
4 Explain	Reason/factor + two pieces of application + consequence.
4 Calculate	Formula + figures + working + units/rounding.
4 Construct	Axes + original curves/equilibrium + one shift + new equilibrium.
6 Analyse	Two distinct contextualised cause/consequence chains.
8 Discuss	Two-sided, applied and developed; no separate conclusion required.
10 Assess	Balanced reasoning + relevant evidence + supported judgement.
12 Assess	Deeper balanced assessment + comparative evidence + supported judgement.
20 Evaluate	Significant competing arguments + applied analysis + justified solution/recommendation.

Three final questions

Have I answered the exact question? Have I used evidence rather than copied it? Does my final judgement add something new?

Original visual resource 1

Understanding the exam paper: IAS question types and expectations.

RETAINED EXACTLY AS SUPPLIED

Understanding the exam paper

2 marks – Define (1 knowledge, 1 development)	
Define	This is worth 2 marks, so it needs to be a fully developed definition. This is a knowledge question and does not require any application or analysis. However, if there is an example available it is always helpful to give one

4 marks – Construct, Calculate, Explain - (1 knowledge, 2 application, 1 analysis marks)	
Construct	A 'construct' question requires the candidates to draw an accurately labelled diagram. You may be required to decide on a type of diagram, or the type required may be stated.
Calculate	A 'calculate' question requires you to perform a calculation, based on given data. Calculations may be used and workings should be given.
Explain	An 'explain' question requires you to provide a brief explanation of cause or effect, which is supported by details or example(s).

6 marks – Analyse ..... Two (2 knowledge, 2 application, 2 analysis)	
Analyse or Two advantages	This requires either a definition OR two possible advantages. There is only a maximum of 2 knowledge marks here for listing advantages. There is then a further application mark available for each advantage/benefit/drawback linked to case study. A further 2 analysis marks are available for each advantage/benefit/drawback showing the cause or consequence. Good terms to use are 'this leads to', 'this can affect … by…'.

This is a level **based response** and follow the best fit approach when deciding on a level. (level of detail gives the marks).	
8 marks – Discuss	
Discuss	You are expected to give a balance your argument. E.g. 'discuss the benefits…', you are still expected to balance your answer, e.g. explain why it might **not** be a benefit. To get into Level 3, you are expected to have well-contextualised answers that have logical chains of reasoning with balance. (2 chains that are contextualised)
10 marks – Assess	
Assess	These are levels of response questions that require more than the 8 mark answers, in that they need to be **'wide-ranging'**, have **'a coherent chain of reasoning'** and **'supported judgement'**. (3-4 concepts, points are –'wide ranging'). You need to have developed chains of arguments that are contextualised with balance for this to get into Level 4. You must provide a conclusion (judgement) with a 10 mark question

Original visual resource 2

Understanding 12-mark and 20-mark question expectations.

RETAINED EXACTLY AS SUPPLIED

12 marks – Assess	
Assess	• These are levels of response questions that need to be **'wide-ranging'**, have **'a coherent chain of reasoning'** and **'supported judgement'**. (3-4 concepts, points are –'wide ranging'). • To get into Level 4 with assess questions, the answers must be wide ranging, so there must be more **than one argument for and against** (two arguments for and against). • Answer has to be well contextualised, so copying large pieces of unsupported information from the case study will not be enough to get into Level 4. You must do something with the information you have selected from the case study, i.e. develop a Context should also be used on both sides of the argument and at every opportunity in order to be well contextualised. • Context should also be used on both sides of the argument and at every opportunity in order to be well contextualised. • To 'assess' means to 'balance', so there should be a counter-argument to the answers. • **You must provide a conclusion (judgement) with a 12 mark question**

20 marks – Evaluate	
Evaluate	This is simply a Examine in detail the meaning or essential features of a theme, topic or situation; break something down into its components; examine factors methodically and in detail, identify separate factors, say how they are related and how each one contributes to the topic to make reasoned judgements and conclusions. • You are likely to be given two options and you will need to make a recommendation or give a solution to a problem. • Both options should be evaluated using the context from the case study, with well-developed chains of reasoning and wide-ranging arguments. • Definitions aren't needed, but they could help show good knowledge and understanding. 1. **Introduction** – demonstrate knowledge of the concepts being assessed, try to contextualise this towards the case study. 2. **1st point in favour of option**, with analytical point on cause/consequence of the business with chain of reasoning presented in the argument. 3. **1st point counter balanced** – offer a counter-argument that is supported well with the context 4. **2nd point in favour of option** – as per point 1 5. **2nd point counter balanced** – As per point 1 **Conclusion and recommendation** - Offer a solid conclusion with new information that supports your judgement and impact on the business. Break up your judgement in term of behaviors that need to be considered in the short-term and long term

Original visual resource 3

Original colour-coded IAS question structure overview.

RETAINED EXACTLY AS SUPPLIED

Define' questions – 2 marks

- Needs to be a fully developed definition with 2 points, however, if an example available it is always helpful to give one
- This is a knowledge question and does not require any application or analysis.

'Explain' – 4 mark questions
(1 knowledge, 2 application, 1 analysis marks)

- **An 'explain'** question requires you to provide a brief explanation of cause or effect, which is supported by details or example(s) from the case context.
- **Knowledge of your point** – demonstrate understanding
- **Application –** Direct reference to context & not just copying text from case study.
- **Analysis –** What is impact, cause, effect of your point

'Calculate'– 4 mark questions
(Knowledge 1, Application 3)

- **A 'calculate'** question requires you to perform a calculation, based on given data. Workings should be given. Answer needs to be given in 2 decimal places and include currency / % signs/ units

'Construct'– 4 mark questions
(1 knowledge, 2 application, 1 analysis marks)

- **A 'construct'** question requires you to draw an accurately labelled diagram.
  Application/analysis – should show correct changes in market conditions

'Analyse two …' questions (6 marks)
(Knowledge 2 marks, Application 2 marks, Analysis 2 marks)

- **Knowledge** - This requires either a definition OR two possible advantages. There is only a maximum of 2 knowledge marks.
- **Application** - 2 marks available for application to context for each advantage/benefit /drawback up to a maximum of 2.
- **Analysis** - 2 analysis marks are available for each advantage/benefit/drawback showing the **cause** or **consequence** on case context.

'Discuss' questions (8 marks)

- These are levels based response question that follows best fit approach when deciding on a level.
- Level 3 answer must be a **well contextualised**, that have logical **analytical chains of reasoning**.
- All analytical **chains of impact** need to have a **Start & End**.
- Although the question might be 'discuss the benefits…', you are still expected to **balance your answer**, e.g. explain why it **might not** be a benefit. **'Balance argument'**
- Explain how your argument could have an **impact on the operations** of the business i.e. productivity, motivation, pricing, branding, labour etc.
- Ensure you've answered the question

'Assess' questions (10 marks)

- Require more than the 8 mark answers, in that they need to be **'wide-ranging',** have **'a coherent chain of reasoning'** and **'supported judgement'.**
- You need to have developed **chains of arguments** that are contextualised with **balance of benefits and drawbacks** to get into Level 4. All analytical **chains of impact** need to have a **Start & End**.
- Explain how your argument could have an **impact on the operations** of the business i.e. productivity, motivation, pricing, branding, labour etc.
- A conclusion must be provided with a 10-mark question.
- Ensure you've answered the question

Original visual resource 4

Original 12-mark and 20-mark visual planning guidance.

RETAINED EXACTLY AS SUPPLIED

'Assess' questions (12 marks)
(Knowledge 2, Application 2, Analysis 4, Evaluation 4)

- Require more than the 10-mark answers, in that they need to be **'wide-ranging', This means THREE points that are full relevant to the context/behaviour of the business.**
- You need to have developed **chains of arguments** that are fully contextualised with **balance that shows an awareness of competing arguments**- these cannot be one sided.
- All analytical **chains** need to have a **Start & End,** linked to context
- Explain how your argument could have an **impact on the operations** of the business i.e. productivity, motivation, pricing, branding, labour etc.

A conclusion must be provided with a **however point** that leads to supported judgment on how your recommendations impacts on **operational decisions** of the business behaviours.

'Evaluate' - 20 mark essay question

1. Read the question and underline key concepts
   - Identify if there is a dual topic. "elements" – For example, Do you think retailers such as Souq and Noon now need to focus more on promotion rather than other elements of the market mix to increase market share. (I.e. marketing mix of promotion to increase market share)
2. Make your **POINT x2** and give analysis relating to the case study (data) (**Point**, **Evidence**) –**DEVLOP** your chains of knowledge by linking back to the question and impact on the business
   - If this was true what could be the **consequences** (analysis)
   - **Evaluate** throughout. Whys this point? Why valid? What is better of this? (point, give analysis, context & link to the business)
   - Make **judgement** after each point. i.e. what behavior would they have to consider
     - Why does this point answer the question?
     - What does this point show us? Why is this useful? What could the business have to consider within its operations
3. Give a **counter argument** x2 to each of your point
   - Why something may not be better? If it was what would /would not happen?
   - What behavior would the business have to consider
4. **Evaluation** – conclusion must answer the question
   - Always start off with, "I think that……" This shows **JUDGEMENT** (give a statement)
     - LINK and demonstrate **JUSTIFICATION** in your conclusion (LINK). Why? i.e. what are the objectives of the business? You should aim to make a judgment for the business. What are their goals linked to their needs? Back up/validate it/ what is the context of reaching this decision?
     - Justification x 2 - why is it more important than others? What would be long/short term choice how this response meets objectives.
     - Why is the factor better in this situation?
     - Why does this factor/point win? Why is one agreement better than the other (judgment)
     - Short term /Long term – how could this affect the business decision/behavior

Focus Mode

Original visual resource 5

Original connectives, evaluation conditions, business impacts and SCOPE/PADLS guide.

RETAINED EXACTLY AS SUPPLIED

LINKED STRAND CONNECTIVES		IT DEPENDS ON IDEAS	
Because	Which might	Long term	Liquidity
Leads to	Equally	Short term	Staff skills
Therefore	Whereas	Economics environment	Organisational structure
As a result	Instead of	Stakeholder Support	Leadership
Consequently	Clearly	Objectives of the business	Culture of the business
Which could	Unlike	What are the competition doing	GDP
		Access to finance	Consumer income
		Productivity	Product portfolio

TERMS OTHER THAN PROFIT	
Competitive advantage	Economics of Scale
Motivated Employees	Better reputation
Brand Loyalty	Brand awareness
Satisfied Stakeholders	Dividends
Gross/operating/net profit margins	Number of customers
Higher market share	Break even analysis
Productivity	Cash flow

write more contextualised responses

S	Size & Sector	e.g. Revenues, Profits, Manufacturer, Service
C	Costs, Customers & Competitive Environment	e.g. Fixed, Variable, Customer Groups, Market, Competitors
O	Ownership & Objectives	e.g. Private, Public, Profit, Sales Maximisation
R	Resources	e.g. Finance, IP, People, Products, Services
E	External Environment	e.g. Legislation, Economy, Technology

Useful for application of qualitative information

P	Patterns	Are there any patterns or trends in the data?
A	Anomalies	Is there anything unusual about the data that stands out?
D	Data Manipulation	Can you mani… …ore useful?
L	Links and Limitations	Can you link different pieces of data together? What are the limitations of the data?
S	Support	How can you use the data to support your arguments?

Useful for quantitative data

Focus Mode

CHAPTER 2

Define and the three types of 4-marker

Retained original frameworks and examples for Define, Explain, Calculate and Construct.

IAS	4 MARKS	ORIGINAL TEMPLATE

QUESTION SUCCESS GUIDE

KEY POINTS

Define: give the complete meaning. Explain: state the required reason or factor, integrate two pieces of context and develop a consequence. Calculate: formula, data, working and units. Construct: accurate labels, original position, correct change and new outcome.

KEY CHALLENGE

The same 4-mark tariff can require a completely different method. Students must recognise whether the examiner wants words, working or a diagram before beginning.

COMMON MISTAKES

Defining the term instead of answering an Explain question; copying context without using it; hiding calculation working; missing units or rounding; drawing an unlabelled or inaccurate diagram; shifting more than one curve.

MOVE UP THE MARK RANGE

Underline the command word. Write a four-step plan in the margin. Check that every line of the response has a marking purpose and that the final answer matches the requested format.

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

2 Mark
Define Provide a definition as demonstrated in the example below

Extract A

The global chocolate market

Chocolate is a multi-billion-dollar market and is expected to reach high levels of growth within the next few years. Rising incomes in many countries and the widespread availability of chocolate are leading to increased demand. However, uncertainty in the supply of cocoa, which is the main ingredient in chocolate, is likely to raise the cost of producing chocolate. This may be a major challenge for chocolate retailers. 5

1 (a) Define the term 'demand'. (Extract A, line 4)

(2)

Question Number	Answer	Mark
1(a)	**Knowledge 2** Up to 2 marks for defining the term 'demand' e.g. • consumer's desire to purchase goods and services **(1)** at a given price, at a given time **(1)**.	**(2)**

Explain (4 mark)

Extract A

Microsoft buys Nokia handset business for €5.4bn

Nokia is selling its mobile phone division for €5.44bn (£4.6bn) in a deal that will result in 32 000 staff transferring to Microsoft. This takeover marks the boldest step yet taken by Microsoft in its recently announced strategy of moving decisively into the device-manufacturing business. Prior to this deal, Microsoft provided Nokia with Windows software at a reduced cost to prevent it from developing its own operating system. 5

Microsoft hopes this move will allow it to design hardware for its software products and will therefore bring it the kind of success enjoyed by competitors such as Apple.

As part of this deal, Microsoft is also providing €1.5bn of immediate financing to Nokia who have been unable to raise external finance. Even inside cash-rich Microsoft, Nokia's phone division will face serious challenges. In 2010, revenue from sales of Nokia handsets was €7.2bn. By 2013, revenue had fallen by 61%. 10

(Source: adapted from 'China lifts 13-year ban on video game consoles' by Fred McConnell, 7 January 2014, © Guardian News and Media Limited 2014)

Explain **one** reason why diseconomies of scale might affect a business such as Microsoft.

(4)

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Knowledge 1 mark	**Giving a correct business keyword definition**
Application 2 marks	**Applying the answer to the business in the question. Not just a name drop, has to be about the product, the market, the objectives or the situation given. The answer needs to contain <u>TWO</u> different references to the extract evidence to receive both application marks.**
Analysis 1 mark	**Chain of reason, 'this means' or 'which means' or 'because' or 'therefore' which is logical and fully developed.**

Diseconomies of scale occur when a company such as Microsoft suffer from a rise in average costs as the business grows in size. Microsoft is a large organisation with a range of different operations relating to software development. As Microsoft grows effective communication between computer software divisions and phone software divisions becomes more difficult. Therefore, increased mistakes are more likely between departments that are working on different areas of software, which will raise average costs.

- Knowledge – 1 mark
- Application – 2 marks
- Analysis- 1 mark

<u>Analyse (6 marks)</u>

Knowledge 2 marks, Application 2 marks, Analysis 2 marks

<u>Knowledge</u> of business concept up to 2 marks e.g. marketing mix, pricing, organizational structures etc

<u>Application</u> - Up to 2 marks for answers contextualised to the business, e.g. Carrefour. Do NOT just name drop, ensure application by linking to products/service sold by the business, their competitors, i.e. uniqueness of the business

<u>Analysis</u> – up to 2 marks for reasons / causes / consequences for the issue. E.g. the impact of this on Carrefour will be a lack of……. Make reference to the issue, if impact if profit explaining how

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CHAPTER 3

Analyse: 6 marks

Two distinct contextualised chains of reasoning.

IAS ONLY | 6 MARKS | TWO CHAINS

QUESTION SUCCESS GUIDE

KEY POINTS

Choose two genuinely different reasons, benefits, drawbacks or effects. Apply each one separately and extend each chain to a clear cause, consequence or impact on the business.

KEY CHALLENGE

Keeping the two chains distinct while still developing each far enough. The second point must add a different line of reasoning rather than repeat the first in new words.

COMMON MISTAKES

Listing two points; using the same context twice without development; stopping at “sales increase” or “costs fall”; writing one excellent chain and one undeveloped sentence; giving balance when the question only asks for two analyses.

MOVE UP THE MARK RANGE

Label Point 1 and Point 2 in your plan. For each, test: context selected, cause explained, consequence reached. If either chain could apply to any business, contextualise it again.

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

the business would gain additional profit through linkage to their products are services (uniqueness).

ANALYSE QUESTIONS =

KNOWLEDGE **APPLICATION** **ANALYSIS**

Context of the case study Reason/ Cause/ Consequence/ Impact

6 Mark Template

Make sure your answer has application throughout

Point 1 **POINT**	**Knowledge** of business concept
Because	**The reason for this - because**
WHAT IMPACT DOES THE IMPLICATION HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore this will lead to;**
Point 2 **POINT**	**Knowledge** of business concept
Because	**The reason for this - because**
WHAT IMPACT DOES THE IMPLICATION HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore this will lead to;**

Knowledge - 2 marks

Application - 2 marks
(use of extract evidence)

Analysis - 2 marks

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Sources for use with Section B

Extract D

In congested Istanbul, companies get goods to you fast

There has been a rapid growth in the demand for shopping services in Istanbul, Turkey. These on-demand services are expanding because transportation can be slow. Businesses are making use of new technology, wages are rising and more people have access to smartphones.

Shopping services such as *Kapgel* and *Getir* offer innovative delivery solutions to meet the needs of their customers. Both firms have different approaches, but aim to meet people's immediate needs and develop customer loyalty by using technology to develop apps and deliver goods as quickly as possible.

Kapgel has designed an app to allow customers to shop from a wide number of stores and supermarkets. The customer creates a basket of goods on the app and a delivery person shops for these items and delivers directly to the customer. Deliveries are made within one hour for a delivery fee of 5 Turkish Lira (US $0.85). *Kapgel* does not keep any stock and uses part-time and temporary delivery people, rather than employing workers on a permanent and full-time basis.

Getir owns many warehouses around Istanbul to stock over 1,000 different products, including food items and small electrical goods. Customers select from the 1,000 items using an app on their smartphone. *Getir* employs over 350 people for this delivery business and have an average delivery time of 9 minutes and 6 seconds.

Unlike *Kapgel*'s delivery fee, *Getir* adds a cost to each product. It has a minimum shopping total of 15 Turkish Lira (US $2.55) before it will deliver an order.

Extract E

***BiSU* Water Delivery**

In Turkey, most tap water is not drinkable. Delivery services in the past were slow and not well organised. On-demand delivery services such as *BiSU* have changed the water delivery market in Turkey.

Customers can now order water using an app on their smartphone. They can have it delivered quickly and at a time to suit them. *BiSU* has a large team of delivery drivers. The business was launched in 2015 and has expanded to many cities in Turkey, receiving over 100,000 orders a month from 38,000 users. Water prices depend on the brand requested and the region the water is delivered to.

Analyse **two** factors that may lead to a change in the supply of delivery services in Turkey.

(6)

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Question Number	Answer	Mark
2(c)	**Knowledge 2, Application 2, Analysis 2** **Knowledge** Up to 2 marks for defining supply, e.g. • the quantity of goods and services **(1)** sellers are willing/able to supply at a given price **(1).** **OR** For providing two factors leading to a change in supply, e.g. • new technology **(1)** increased input costs **(1).** **Application** Up to 2 marks for answers contextualised to on-demand delivery suppliers, e.g. • delivery businesses are adapting new technology by developing applications to allow people to shop online **(1)** • businesses like *BiSU* have a large team of delivery drivers, and wages in Turkey are increasing **(1).** **Analysis** Up to 2 marks for reasons/causes/consequences for on-demand delivery suppliers, e.g. • improvements in technology will attract new companies to the market that will utilise applications to become part of this growing online market, therefore increasing supply **(1)** • if labour costs and other input costs rise significantly this may reduce profit margins and result in a decrease in supply of the delivery services in the future **(1)**.	**(6)**

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CHAPTER 4

Discuss: 8 marks

Balance, context and developed reasoning across all four units.

IAS + IAL	8 MARKS	BALANCE

QUESTION SUCCESS GUIDE

KEY POINTS

Develop the stated argument or benefit and a genuine balance point. If the question asks for advantages or benefits, explain why the benefit may be limited, may not occur or depends on conditions—not an unrelated disadvantage. Apply and analyse both sides.

KEY CHALLENGE

Keep both sides similarly developed and applied. The balance point must directly test the original claim and show when, why or to what extent it may not hold.

COMMON MISTAKES

Writing only advantages; listing two benefits with no balance; adding an unrelated disadvantage; using context on one side only; copying evidence; giving generic impacts; replacing development with an unnecessary conclusion.

MOVE UP THE MARK RANGE

Plan two columns: claim or benefit, then its limitation or counter-condition. Select one precise piece of evidence for each. Give both chains a clear start and end. A separate conclusion is not required.

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

Assess TWO (8 marks)

Levels based response marks are awarded to your answer. You DO NOT receive marks based on the number of points you mention.

Level	Mark	Description
0	0 marks	
1	1-2	Isolated elements of knowledge and understanding – recall based. Weak or no relevant application to business examples. Generic assertions may be presented.
2	3-5	Accurate knowledge and understanding. **Applied** accurately to the business and its **context**. **Chains of reasoning** are presented, showing **cause**(s) and/or **effect**(s) **but** may be assertions or **incomplete**. An attempt at an assessment is presented that is **unbalanced** and unlikely to show the significance of competing **arguments**.
3	6-8	Accurate and thorough knowledge and understanding, **supported** throughout by **relevant and effective** use of the **business behaviour/context**. **Logical chains of reasoning**, showing **cause**(s) and/or **effect**(s). **Assessment is balanced**, well **contextualised**, using **quantitative** and/or **qualitative** information, and shows an **awareness of competing arguments/factors leading to a supported judgement**.

Level 2 approach will be;

1. Applied to the context
2. Shows chains of reasoning – but are incomplete and not fully explored (causes/effects)
3. Attempt at an unbalanced answer however is still very much one sided
4. Lack of competing arguments given (unbalanced)

Level 3 approach will be;

1. Supported with relevant and effective information about the business (uniqueness)
2. Logical chains of reasoning explored with causes and effects
3. A balanced assessment which is contextualized towards the business case study
4. Quantitative and qualitative information explored
5. Awareness of different arguments that would impact on the business and its success (long term/short term view point of factors)

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8 Mark Template

Make sure your answer has application throughout

Define Key term:	
Paragraph 1 **POINT**	**One factor is….**
IMPLICATION	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…**
SHORT COUNTER ARGUMENT	**However, this may not be the case because/the extent to which depends on….**
Paragraph 2 **POINT**	**Another factor is….**
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…**
SHORT COUNTER ARGUMENT	**However, this may not be the case because/the extent to which depends on….**

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Assess two advantages of Bella of using job production to make each living locket [8]

Advantages to Bella using job production is that her products are specialized meanin g that she can justify charging a higher price for her goods and therefore generate a higher revenue. This is due to the fact that her goods are authentically handmade and personalized to the customers exact desires. Furthermore, this means she can generate higher revenue and terfore have higher profit margins. She has proven this by generating $120,000 in November and December alone, this shows that the level of competition in this industry is low in the areas she operates in and with her patented design, she is expanding to Mexico and Europe which are areas with low competition in the industry. This will lead to a great deal of success for Origami Owl.

However, in doing this, Bella has disadvantages to overcome. For example, operating with job production will render Bella unable to purchase her supplies in bulk as each customer will have their own specific design they want made. Furthermore, her unit costs will be high as the materials requested by each individual can't be bought in bulk and therefore will mean Bella is required to order individual pieces for each piece. In addition to this, job production is greatly time consuming and will mean Bella is in need of skilled labor, furthermore, training her labor to be able to produce the quality of goods she produces will be time and money consuming.

Teacher comment:
Two advantages applied toward the context of liking lockets, chain shows logical cause and effect, the response is balanced and well contextualized using quantitative and qualitative factors *(8 marks)*.

Assess **two** benefits of quality control for a business, such as Cadbury.

(8)

Blue Text = Application (AO2)	**(1), (2)..= Chains of Analysis (AO3)**	**(EV1).. = counter argument (AO4)**

Quality control is where finished products are checked by inspectors to see if they meet the set standard.

(1) One benefit of quality control is that it should prevent chocolates which might be misshaped, damaged, or discoloured such as the Cadbury Crème Egg reaching the customer. **(2)**Consequently, it avoids costly returns of chocolates through the retailer, which could prove particularly problematic if sold as a gift for Easter.
(3) Therefore, Cadbury will prevent a loss of reputation and a fall in sales of their other products, such as the Dairy Milk bar. **(EV1)**However, by only checking quality at the end of the production process it may cause the production staff to be complacent as it is the responsibility of the quality controller to find the faulty chocolates. Mistakes could be identified earlier in the production process if quality assurance was implemented. Therefore, saving money and time.

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(1) Another benefit of quality control for Cadbury is increased demand for their chocolate products. **(2)**There are now far more health-conscious consumers who no longer purchase high quantities of chocolate. They view chocolate as a luxury and a treat and consequently expect their needs to be met. **(3)**Therefore, it is essential that Cadbury ensure high levels of quality to gain a competitive advantage and keep high levels of demand against rivals like Mars and Galaxy. **(EV2)** However, quality control requires members of staff to be recruited and trained to do the quality checks. This increases Cadbury's costs and therefore profits may fall because of quality control.

Assess (10 marks)

Levels based response marks are awarded to your answer. You DO NOT receive marks based on the number of points you mention.

Level	Mark	Description
0	0 marks	
1	1-2	Isolated elements of knowledge and understanding – recall based. Weak or **no relevant application** to business examples. Generic assertions may be presented.
2	3-4	**Elements of knowledge** and understanding, which are **applied to the business** example. **Chains of reasoning** are presented, but may be assertions or **incomplete.** **A generic or superficial** assessment is presented.
3	5-7	**Accurate** and thorough **knowledge** and understanding, **supported** throughout by **relevant** and **effective** use of the **business** behaviour/**context**. Analytical perspectives are presented, with **developed chains of reasoning**, showing **cause**(s) and/or **effect**(s). An attempt at an assessment is **presented**, using **quantitative** and/or **qualitative** information, though **unlikely to show** the significance of **competing arguments**.
4	8-10	**Accurate** and thorough **knowledge** and understanding, **supported** throughout by **relevant** and **effective** use of the **business** behaviour/context. A **coherent and logical chain of reasoning**, showing **cause**(s) and/or **effect**(s). Assessment is **balanced**, **wide ranging** and well **contextualised**, using **quantitative** and/or **qualitative** information and shows an awareness of **competing arguments**/factors, **leading** to a **supported judgement**.

Level 2 approach will be;

1. Applied to the context
2. Shows chains of reasoning – but are incomplete and not fully explored (causes/effects)

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CHAPTER 5

Assess: 10 marks

Supported judgement in IAS, followed by the transition to 12 marks.

IAS	10 MARKS	SUPPORTED JUDGEMENT

QUESTION SUCCESS GUIDE

KEY POINTS

Use balanced, contextualised chains across more than one relevant business consideration. Judge which factor or outcome is most important and support that decision with evidence from the case.

KEY CHALLENGE

Being wide-ranging without becoming shallow. Three or four relevant concepts can help planning, but paragraph count is not the rule: each selected argument must still be analysed and weighed.

COMMON MISTAKES

Writing an 8-marker followed by “therefore I agree”; producing many short points; using context on only one side; repeating the question in the conclusion; making an absolute judgement with no condition; drifting away from the exact issue being assessed.

MOVE UP THE MARK RANGE

Circle the decision in the question. Plan the strongest argument, strongest counterargument and likely judgement. Before writing the conclusion, identify the evidence that makes one side more significant in this situation.

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

IAL Business – Difference Between 10-Mark and 12-Mark Questions

This guide summarises the difference between 10-mark and 12-mark questions in IAL Business. It includes key exam focus, expectations, and scaffolding to help structure your answers.

Aspect	10-Mark Question (Year 12)	12-Mark Question (Year 13)
Focus	Mainly AO3 – analysis in context. Limited evaluation.	AO3 + AO4 – analysis **and** evaluation. Stronger balance and judgement needed.
Structure (Scaffold)	- **Define key term** - **Point 1** → Explain → Implication → Impact - **Point 2 (Counter/Alternative)** → Explain → Implication → Impact - **Brief conclusion** – directly answer Q with light evaluation	- **Define key term** - **Point 1 (Support)** → Explain → Impact - **Point 2 (Support)** → Explain → Impact - **Counter/Alternative points** → Explain → Impact - **Conclusion** – balanced judgement (short vs long term / depends on factors)
Points	Make **2 developed points** (one positive and one counter/alternative). Each point must be explained with a **chain of reasoning** using connectives (*"This means that…" / "As a result…"*). Always **link back to the business objective** (e.g. profit, growth, efficiency). **Example:** "One advantage of lowering prices is increased sales revenue. This means more customers may buy the product, leading to higher market share." **Counter:** "However, lowering prices may reduce profit margins, which could harm financial stability in the long term."	Build a **balanced argument** with at least **2 strong points on one side** and a **counter/alternative**. Each point must go beyond description — add **implications and business impacts**. Use **comparisons** between options (e.g. short vs long term, depends on finance/competition). **Example:** "Introducing Kaizen may reduce waste and improve efficiency, helping lower costs and improve competitiveness. Similarly, JIT can reduce storage costs and free up working capital." **Counter:** "However, both methods depend on reliable suppliers; without this, production could face costly disruptions."
Evaluation	Light evaluation (brief alternative/limitation). Example: *"However, this depends on…" "In the short term…, but in the long term…"*	Clear, supported judgement. Examples: *"Overall, option A is better because…" "Although X works short term, Y is more sustainable long term."*
Conclusion	Direct answer to question. Short summary focused on issue.	Justified conclusion/recommendation. Must weigh up factors and show reasoning.

Scaffolding Support

10-Mark Question Scaffold:

- ◊ Define key term
- ◊ Point 1 → Explain → Implication → Impact on objectives
- ◊ Point 2 (Counter) → Explain → Implication → Impact
- ◊ Brief conclusion – answer the question with light evaluation

12-Mark Question Scaffold:

- ◊ Define key term
- ◊ Point 1 → Explain → Impact (support)
- ◊ Point 2 → Explain → Impact (support)
- ◊ Counter/Alternative points → Explain → Impact
- ◊ Conclusion – balanced judgement (short vs long term / depends on factors)

3. A generic answer is presented which is one sided

Level 3 approach will be;

1. Supported with relevant and effective information about the business (uniqueness)
2. Logical chains of reasoning explored with causes and effects
3. A balanced assessment which is contextualized towards the business case study
4. Quantitative and qualitative information explored
5. Awareness of different arguments but not explored significance of competing arguments

Level 4 approach will be;

1. Supported with relevant and effective information linked directly to the business
2. Number of coherent and logical chains of reasoning with causes and effects
3. Balanced with a wide-ranging issue explored that are contextualized
4. Awareness of competing arguments which are fully explored
5. Support judgment linked to knowledge and awareness of the business context

10 marks Template

Make sure your answer has application throughout

Define Key term:	
Paragraph 1 **POINT**	**One reason why it is important is….** **This is because…**
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…** **As a result, …**
Paragraph 2 **POINT**	**However, another factor that is important is….** **This is because…**

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IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**This will lead to…** **Therefore…** **As a result, …**
Conclusion:	**Overall, function is the most important/not as important/of equal importance** **(Directly answer the question asked)** **This is because…** **(at least ONE of the following)** **However, this will depend upon…** **In the short term/In the long term…**

Assess the reason why Morrisons sold their brand M local [10]

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Morrison's have decided to sell their stores so their asset to raise internal finance. Sale of asset is when business' sell assets like stores, machinery etc that are no longer needed to raise finance. Morrison's might have sold their stores because they made an annual loss of $792M by opening 140 convenience stores and they have decided to concentrate on its core supermarkets. An advantage of Morrison selling their shops is that it would lower their operating costs. For example, being a convenient store would mean that they would have to deliver fresh items like fruits everyday which has resulted in their operating costs like distribution costs for 'M local' increasing and resulted in a $36M loss and therefore profit margin fell. As well as, location is key for convenient stores and because Morrison's bought 49 blockbuster outlets in the wrong locations in South Eastern England, they were not able to generate profit which is why they sold those 140 stores for $25M. By selling their convenience stores, they can raise internal finance of $25M which can be used to rebrand them as 'My Local'

However, a disadvantage of selling these convenient stores would be that social trends are changing and demand for convenient stores are increasing so because the area of the market is increasing in the UK, Morrison's closing their stores would mean that they would be left behind competitors like Aldi, Asda etc. Moreover, because the stores are leased, it would mean that even if the 140 stores closed down, they would still make a loss of about $30M on transactions and it would still be liable for the leases. Therefore, by closing the stores, they would still make a loss. As a result, by closing the stores they would continue to make a lose and they would also lose the opportunity of creating brand recognition.

Overall, I think Morrison's selling 140 M local stores would be beneficial because the convenience stores are quite small and customers only buy few items like necessities so the money spent by customers would be low and therefore revenue in those stores would be low . As a result, if they sold them, they could gain $25M finance which they could use to spend on their supermarkets. Additionally, because the only reason they opened convenience stores was because competitors opened them shows that remaining competitive is their objective so they could spend part of the $25M on improving customer service and they could even develop an online website as a substitute. Therefore, it would be beneficial because it would open more opportunities for Morrison's

Teacher comments:
Accurate knowledge of Morrisons situation in terms of financial position, supported view point on through contextualized and logical chain of reasoning. The answer demonstrates a clear reason for the sale with a strong counter argument linked to market situation. *(10 marks)*

Assess the limitations of Break-even analysis for a company such as Tesla [10]

Breakeven analysis shows a financial calculation of the point the business sells enough units to cover all its costs, it shows the profit loss and margin of safety.

For a company like Tesla, break even has multiple limitations because it assumes that all their products made are sold, as mentioned tesla has made multiple losses over the year and it could be due to needing to pay for gross profits before having capital. This is not good as tesla is going through a time of investment which means their company will look like a loss making company,

this means there won't be potential investors. Another limitation is that there is no economies of scale with variable costs because that's not accurate, as tesla makes more cars, they will buy in bulk and breakeven assumed that there is the same correlation throughout. Moreover, breakeven analysis assumed that tesla only sells one product whereas we know there is more than one type of car that they provide, as well as breakeven assuming that the selling price stays the same whereas there could be things like discounts on sale revenue, etc.

On the other hand, breakeven shows the amount that tesla needs to sell in order to make profit, which is helpful as they would need that cash in order to expand the business and due to Tesla's current debt to equity ratio over 2x, which is beyond the average of normal, another advantage of breakeven is margin of safety which helps big businesses such as Tesla for a new product, to show where it would fall in order to cover the rest of the costs, tesla has a goal of reaching break even in 2 years, this means that Tesla could make smart decisions when putting a price of their product, however it doesn't assume external factors. Furthermore, tesla has made a loss of over 1 billion dollars and the use of breakeven would show why that loss has been made, which could be due to their pricing strategies.

In conclusion, breakeven has other limitations such as assuming that the fixed costs stay the same over the year, this means that the correlation is in correct so the profit made is not as accurate as it would be on breakeven, as well as the margin of safety. The chart is a planning tool, it doesn't actually show what happens.

Teacher comments:
Accurate knowledge of break-even analysis, supported view point on through contextualized and logical chain of reasoning, linking to the different products that the business sells. The answer demonstrates a strong counter argument on the benefit of using break-even analysis within Tesla. *(10 marks)*

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CHAPTER 6

Assess: 12 marks

Deeper balanced assessment, comparative evidence and supported judgement.

IAL	12 MARKS	COMPARATIVE ANALYSIS

QUESTION SUCCESS GUIDE

KEY POINTS

Develop more than one relevant argument, contextualise both sides and compare their significance. Reach a supported conclusion that explains why the chosen factor or outcome outweighs the strongest alternative.

KEY CHALLENGE

Using the case material comparatively rather than decorating paragraphs with facts. Evidence should change the judgement by revealing scale, feasibility, risk, timing or another meaningful difference.

COMMON MISTAKES

Treating 12 marks as a 10-marker plus one paragraph; copying long case-study extracts; giving balance without comparison; context on one side only; leaving the strongest evaluation until an unsupported conclusion; using a memorised structure that does not answer the question.

MOVE UP THE MARK RANGE

Plan competing arguments and attach different evidence to each. Add one comparison sentence before the conclusion: “This is more significant than... because...”. Finish with a conditional, evidence-based judgement.

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

Assess (12 marks)

Levels based response marks are awarded to your answer. You DO NOT receive marks based on the number of points you mention.

Level	Mark	Description
0	0 marks	
1	1-2	Isolated elements of knowledge and understanding – recall based. Weak or **no relevant application** to business examples. Generic assertions may be presented.
2	3-4	**Elements of knowledge** and understanding, which are **applied to the business** example. **Chains of reasoning** are presented, but may be assertions or **incomplete.** **A generic or superficial** assessment is presented.
3	5-8	**Accurate** and thorough **knowledge** and understanding, **supported** throughout by **relevant** and **effective** use of the **business** behaviour/**context**. Analytical perspectives are presented, with **developed chains of reasoning**, showing **cause**(s) and/or **effect**(s). An attempt at an assessment is **presented**, using **quantitative** and/or **qualitative** information, though **unlikely to show** the significance of **competing arguments**.
4	9-12	**Accurate** and thorough **knowledge** and understanding, **supported** throughout by **relevant** and **effective** use of the **business** behaviour/context. A **coherent and logical chain of reasoning**, showing **cause**(s) and/or **effect**(s). Assessment is **balanced**, **wide ranging** and well **contextualised**, using **quantitative** and/or **qualitative** information and shows an awareness of **competing arguments**/factors, **leading** to a **supported judgement**.

Level 2 approach will be;

1. Applied to the context
2. Shows chains of reasoning – but are incomplete and not fully explored (causes/effects)
3. A generic answer is presented which is one sided

Level 3 approach will be;

1. Supported with relevant and effective information about the business (uniqueness)
2. Logical chains of reasoning explored with causes and effects (3-4 chains developed)
3. A balanced assessment which is contextualized towards the business case study
4. Quantitative and qualitative information explored
5. Awareness of different arguments but not explored significance of competing arguments

Level 4 approach will be;

1. Supported with relevant and effective information linked directly to the business
2. Number of coherent and logical chains of reasoning with causes and effects

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3. 2 arguments for and against with Balanced with a wide-ranging issues explored that are contextualized
4. Awareness of competing arguments which are fully explored (balanced)
5. Support judgment linked to knowledge and awareness of the business context

12 marks Template

Make sure your answer has application throughout

Define Key term:	
Paragraph 1 **POINT**	**One reason why it is important is….**
	This is because…
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…**
	As a result, …
Paragraph 2 **POINT**	**However, another factor that is important is…**
	This is because…
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…**
	As a result, …

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Conclusion:	**Overall, product differentiation is the most important/not as important/of equal importance** **This is because…** **(at least TWO of the following)** **However, this will depend upon…** **In the short term/ In the long term….** **It is recommended that…**

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The average price elasticity of demand for clubs in the health and fitness market is estimated to be -2.

(c) Assess the likely impact of media health campaigns on the price elasticity of demand for health and fitness clubs.

(12)

Blue Text = Application (AO2)	**(1), (2)..= Chains of Analysis (AO3)**	**(EV1).. = Judgements (AO4)**

Price elasticity of demand shows us how the demand for good or services changes in response to a price change. The average PED for health and fitness clubs is expected to be -2, which means that a 1% change in price leads to a 2% change on demand. This indicates a relatively elastic relationship.

(1) Media health campaigns may help to reduce the price elasticity of demand. **(2)** This is because they are likely to stress the importance of keeping fit and healthy. **(3)** This will lead to perceptions shifting around exercise making it perceived to be more of an essential service. **(4)** Therefore this will decrease the PED as consumers are becoming more health conscious due to the campaigns. **(5)** As a result this would allow gyms such as Pure Gym and Virgin Active to increase their prices as people know that fitness is important and will be prepared to accept or may not notice the higher membership fees.

(1) In addition, the use of media health campaigns is likely to reduce price elasticity. **(2)** This is because consumers might see health (keeping fit/losing weight) as more important than money. **(3)** Therefore whilst some may end their memberships others will be keen to retain theirs. Fitness First retentions are at its highest ever.

(1) However, media health campaigns may not really impact the PED for health and fitness clubs. **(2)** This is because these campaigns are promoting general wellness and fitness and not specifically club membership. **(3)** Consequently, consumers have a wide variety of choices in how they exercise, including relatively inexpensive options such as running or online workouts. **(4)** Therefore, due to the high number of substitutes, the PED of health and fitness clubs is likely to remain relatively elastic. **(5)** As a result, this may restrict the ability for health and fitness clubs to increase their prices beyond an accepted market level, i.e. Similar to chains like LA Fitness, as they will experience a loss of revenue due to falling demand

(EV1) Overall, it seems likely that the impact of media health campaigns will have at least some impact in reducing the elasticity of demand, although likely not enough to make demand inelastic (<-1) due to the number of substitutes. **(EV2)** In reality, this will depend largely on the type of health and fitness club as media campaigns may have a bigger impact in reducing the PED of more premium gyms e.g. David Lloyd as they have many facilities to do with health and wellbeing that may not be available otherwise. **(EV3)** I would recommend for health and fitness club managers that they look to differentiate their offering as much as possible by adding additional services like Personal Training and Fitness MOT's and increase their brand strength in order to give them greater flexibility to raise prices.

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Using the data in Extract G, the Net present Value (NPV) and Payback, access Mondelelez International's investment in Cadbury's moderation [12]

Calculate NPV and payback and make a decision about what is the best one.
NPV = 13,806,000
Payback = 3 years

Investment appraisal is the process of analysing if investment projects are worthwhile, it's a tool that shows return on investment, over life of project.

The benefit of using a specific investment appraisal, also known as, NPV (net present value) is because the total costs are more accurate because it takes to account the discounts in the future, calculation shows that Cadbury will make a return of 13,806,000 including 10% of future discounts, NPV will show Cadbury what the project is actually worth, which is good for potential investors as they are a big company willing to take a risk, investors would want to understand what will the project return, it allows investors to see the risk and return, as the business is public, people should have access to this data so they need to be as accurate as possible and show good results to maintain its good reputation and have an advantage to its competitors such as Kinder.

Moreover, the business also uses another type of investment appraisal is calculating payback which in this case is 3 years. This is beneficial for the business because payback emphasis speed of return and the time it takes for the project to repay its initial investment, which is very high for Cadbury, 75m. Furthermore, calculating payback is a positive for a business like Cadbury because payback is good for markets that change rapidly so they can sort out their finances to ensure nothing goes wrong as it's in a very competitive industry.

On the other hand, NPV looks beneficial as it allows them to invest in area with more modernization, but there is a 2% pay rise so NPV is not taken into account, which means there will be higher operating cost, leading to lower inflow. Moreover its not beneficial because they need to consider other facts, like availability of labour, reputation?? They also need high skilled staff, Will lay off staff, they made staff redundant. People don't want to come in and work for them. 75 million investment, have they got access to finance, if interest is 10% interest rates are also going to be high, impact on return on the investment, costs are high.

In conclusion, the business should continue with this project because modernization is good and the external market is growing, which leads to the demand for chocolate increasing, so the business should invest in new machinery, as it will reduce the costs whilst making higher sales, it will grow the business, risks are not too low so businesses in the same industry such as nestle would probably make the same decision.

Teacher comments:
Accurate knowledge of investment appraisal, supported view point on through contextualized knowledge of market, and logical chain of reasoning, quantitative date through calculation used to back up view point with qualitative awareness of issues for the Cadburys. The answer demonstrates a strong counter argument on using the different investment appraisal methods. Conclusion has scope to develop through consideration of other elements that impact on the decision rather investment appraisal (*11 marks)*

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Using Ansoff's Matrix, assess the benefits to M&M Drinks of launching their new spa mineral water drink [12]

The owner of M&M's can use Ansoff's matrix to asses the risk associated with different strategies such as market development through selling existing drink range into the Chinese market or the diversification of drinks range by producing bottled water using a source from a natural spa. According to the data above, growth in the UK's bottled water market has risen by 14%. This can be seen as a massive opportunity for M&M's to enter this market and advertise using their natural source found from spa's. As consumer trends are changing to healthier alternatives, M&M's can adapt to consumer preferences to potentially gain 10% market share in the Uk. This can allow M&M's to potentially gain revenue and recover from previous losses for three countries consecutive years.

Another benefit of M&M's diversifying their product range by launching a new spa mineral water drink is that as the bottled water market is a newly growing market in the uk they can establish and build a strong brand by learning from the faults of existing bottled water competitors in the uk and using secondary market research to possibly produce a unique branding for their mineral water through advertising natural spa source or offering a promotion that would lure customers to build loyalty towards their mineral water. This can allow M&M's to obtain market share within the local region and successfully elongate their traditional brand across the region by adapting to consumer preferences of healthier drinks.

On the contrary, the diversification of M&M's into procuring mineral water has a significant amount of risk that is associated with it. This is because the business traditionally produces carbonated soft drinks with traditional recipes such as American cream which is the reason for why the M&M's brand is successful and competing with big brands such as PepsiCo. Adapting to the healthier drinks market of mineral water defeats the purpose and contradicts the initial business model. As a result, the owner will require to carry out market research on the potential new mineral bottled water while also having to face competitors in the emerging market. With reference to the data, the mineral bottled water market is growing by 12% which can indicate there is already existing competitors. This creates larger amounts of uncertainty for M&M's as their success in this market is not guaranteed despite the fact that it is crucial for them to change their business model to recover from losses in profits for three consecutive years.

To conclude, I believe that the owner of M&M can use product development as an alternative through re-branding existing sodas such as Yorkshire cola that consists of traditional recipients and making it healthier possibly by reducing carbon used or less sugars. This is the process of switching dog products with low market share and low growth to possibly cash cows allowing their new and healthy soft drinks have high market share, allowing M&M's to possibly recover from losses and think of new alternatives for their future such as distributing drinks to China allowing them to possibly organically grow

Teacher comment:
Accurate knowledge of Ansoff Matrix and how its supports growth of M&M drinks, supported view point on through contextualized knowledge of diversification strategy, and logical chain of reasoning linking to risk. The answer demonstrates a strong counter argument, but judgement could have completing arguments which is supported to selling existing products to China as their market is growing at 14%. *(10 marks)*

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Resource 2 – A/A* Hinge Question

Student A:

"Clear corporate objectives may improve coordination across Unilever's five Business Groups because managers are able to work towards shared targets such as 3–5% underlying sales growth. This could improve operational efficiency and support more consistent decision-making."

Student B:

"Clear corporate objectives are likely to be more strategically significant for Unilever in the long term because they allow the business to prioritise investment into its 30 Power Brands, which already generate over 75% of turnover. Compared with focusing purely on short-term cost reduction, this may create more sustainable competitive advantage through stronger brand growth and improved market positioning. However, the success of these objectives will still depend on effective execution across Unilever's 190-country global operations."

Student Task

1. Decide which response accesses Level 4 more effectively.
2. Identify EXACTLY what makes it stronger.
3. Identify ONE feature Student A/B would need to add to access Level 4.

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1. Decide which response accesses Level 4 more effectively.
2. Identify EXACTLY what makes it stronger.
3. Identify ONE feature Student A/B would need to add to access Level 4.

STATEMENTS

1. “Clear corporate objectives improve coordination across Unilever.”

2. “Investing in Unilever’s Power Brands could increase sales revenue.”

3. “Reducing short-term costs may improve profitability.”

4. “Launching more sustainable products may strengthen brand image.”

5. “Expanding into emerging markets could increase market share.”

6. “Higher spending on digital marketing may attract younger consumers.”

7. “Improving operational efficiency may reduce production costs.”

8. “Focusing on innovation may improve competitiveness.”

9. “Unilever’s global operations create economies of scale.”

10. “Strong leadership may improve strategic decision-making.”

Sources for use with Section A

Extract A

Unilever's purpose and Growth Action Plan

Unilever is a British multinational consumer goods company. It owns around 400 brands and sells food, home care, personal care and beauty products to consumers in more than 190 countries. Its best-known brands include Dove, Knorr, Hellmann's, Domestos, Magnum and Sunsilk. In 2024 Unilever employed approximately 128,000 people worldwide.

In 2024, under Chief Executive Officer Hein Schumacher, Unilever launched a new corporate purpose: "To brighten everyday life for all." The company says this purpose is at the heart of a new strategy, the Growth Action Plan 2030, which is built on three clear priorities:

- delivering higher-quality, faster growth by focusing investment on 30 'Power Brands' that generate over 75% of turnover
- creating a simpler, more productive business by reducing costs and removing complexity
- building a strong performance culture so that decisions are made faster and held to account.

Schumacher summarised the approach as a commitment to "do fewer things, better, and with greater impact." As part of the plan, Unilever announced it would separate its Ice Cream division into a standalone business and carry out a major productivity programme.

Extract B

Selected financial data for Unilever, 2023 and 2024

	2023 (€bn)	2024 (€bn)
Turnover (revenue)	59.60	60.80
Cost of sales	(33.36)	(33.44)
Operating profit	9.90	9.40
Profit for the year	6.40	6.37
Total equity	20.80	22.60
Non-current liabilities	28.60	28.20

Note: figures are rounded and presented for the purpose of this paper.

Extract C

Setting objectives for growth

To turn its purpose into action, Unilever set itself measurable corporate objectives. These included delivering underlying sales growth of between 3% and 5% each year, with a rising share coming from higher sales volumes rather than price rises; growing underlying operating margin; and achieving a return on invested capital in the "high teens". The company also set targets to reduce greenhouse gas emissions in its own operations and to support millions of small businesses through its digital platforms.

In 2024 Unilever reported underlying sales growth of 4.2%, with its 30 Power Brands growing faster than the rest of the business at 5.3%. Unilever stated that clear, shared objectives helped its five Business Groups to "pull in the same direction".

Extract D

Underlying sales growth (USG) by Business Group

Business Group	2023 USG	2024 USG
Beauty & Wellbeing	8.3%	6.5%
Personal Care	8.5%	5.2%
Home Care	5.9%	2.9%
Foods	8.9%	2.6%
Ice Cream	5.3%	3.7%
Unilever Group (total)	7.0%	4.2%

Note: underlying sales growth (USG) measures the growth in sales excluding the effects of currency changes and businesses bought or sold.

SECTION A

Read Extracts A, B, C and D in the Source Booklet before answering Question 1.

Write your answers in the spaces provided.

1 (a) Using Extract B, calculate to two decimal places, the net profit margin for Unilever in 2024. You are advised to show your working. **(4)**

(b) Explain one benefit to Unilever of developing its corporate objectives from its corporate purpose (mission). **(4)**

Unilever has replaced its previous purpose with a new corporate purpose: "To brighten everyday life for all."

(c) Discuss whether Unilever's corporate purpose meets the characteristics of an effective mission statement. **(8)**

(d) Using Extracts A, C and D, assess the likely benefits to Unilever of setting clear corporate objectives as part of its Growth Action Plan 2030. **(12)**

(e) Assess the likely value to Unilever of using its corporate aims and objectives to guide strategic decision-making. **(12)**

CHAPTER 7

Evaluate: 20 marks

Competing arguments, integrated application and a justified solution or recommendation.

IAS + IAL	20 MARKS	5x5 CHALLENGE

QUESTION SUCCESS GUIDE

KEY POINTS

Identify the decision, options or dual elements in the question. Use PEAK and the 5x5 habits to build contextual arguments, counterarguments and paragraph-level judgement. Weigh the strongest evidence before making the final recommendation.

KEY CHALLENGE

Sustaining evaluation across the essay. Strong responses do not save all judgement for the end: they repeatedly test significance, conditions, objectives, stakeholders and short- versus long-term impact.

COMMON MISTAKES

Following a memorised essay regardless of the question; using five shallow paragraphs merely to complete 5x5; repeating the same context; confusing analysis with evaluation; giving two isolated options with no comparison; writing a conclusion that only summarises.

MOVE UP THE MARK RANGE

Write the decision at the top of the plan. For every paragraph, check Point, Because, Chain, Application and Judgement. Use the 4Ws conclusion: Which? Why? Why does it outweigh the alternative? What does it depend on?

Independent-use routine

Cover the guidance, recall it aloud and plan your own answer before using the retained template or viewing a model response.

Assess (20 marks)

Levels based response marks are awarded to your answer. You DO NOT receive marks based on the number of points you mention.

Level	Mark	Description
0	0 marks	
1	1-4	**Isolated** elements of **knowledge** and **understanding**. Weak or **no relevant application** of business examples. An argument may be attempted, but will be **generic and fail to connect causes** and/or consequences.
2	5-8	**Elements** of **knowledge** and **understanding**, which are applied to the business example. **Arguments** and **chains of reasoning** are presented but **connections between causes** and/or **consequences** are **incomplete**. Attempts to address the question. A **comparison** or **judgement** may be **attempted** but it will **not successfully show an awareness** of the **key features** of business behaviour or business situation.
3	9-14	**Accurate** and thorough **knowledge** and **understanding**, **supported throughout** by relevant and **effective** use of the **business** behaviour/**context**. Uses **developed chains of reasoning**, so that **causes** and/or **consequences** are complete, **showing** an **understanding** of the **question**. **Arguments** are **well developed**. **Quantitative** and/or **qualitative information** is **introduced** in an attempt to **support judgements**, **a partial awareness** of the validity and/or **significance** of **competing arguments** and may lead to a **conclusion**.
4	15-20	Accurate and thorough knowledge and understanding, supported throughout by relevant and effective use of the business behaviour/context. **Uses well-developed** and **logical**, **coherent chains of reasoning**, showing a range of **cause** and/or **effect**(s). **Arguments** are **fully developed**. **Quantitative** and/or **qualitative** information is/are used well to support judgements. A **full awareness** of the **validity** and **significance** of **competing arguments**/factors, leading to **balanced comparisons**, judgements and an **effective conclusion** that **proposes a solution** and/or **recommendations**.

Level 2 approach will be;

1. Applied to the context
2. Shows chains of reasoning – but are incomplete and not fully explored (causes/effects)
3. A generic answer is presented which does not demonstrate awareness of the business

Level 3 approach will be;

1. Supported with relevant and effective information about the business (uniqueness)
2. Developed chains of reasoning explored with causes and effects
3. A balanced assessment which is contextualized towards the business case study

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4. Quantitative and qualitative information explored
5. Awareness of different arguments with partial awareness of validity or competing arguments.

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Level 4 approach will be;

1. Supported with relevant and effective information linked directly to the business
2. Number of well developed coherent and logical chains of reasoning with causes and effects
3. Balanced with a wide ranging arguments explored that are contextualized
4. Awareness of competing arguments which are fully explored using quantitative and qualitative
5. Support balanced judgment with a solution a recommendation that business needs

Demonstrating chains of analysis in a 20-mark question

20 mark essay questions – no set way or structure provided by examination board however the below points will help you access level 4.

1. Read the question and underline key concepts
   - Identify if there is a dual topic, "elements" – For example, Do you think retailers such as Souq and Noon now need to focus more on promotion rather than other elements of the market mix to increase market share. (I.e. marketing mix of promotion to increase market share)

2. Make your **POINT x2** and give analysis relating to the case study (data) (**Point**, **Evidence**) – **DEVLOP** your chains of knowledge by linking back to the question and impact on the business
   - If this was true what could be the **consequences** (analysis)
   - **Evaluate** throughout. Whys this point? Why valid? What is better of this? (point, give analysis, context & link to the business)
   - Make **judgement** after each point. i.e. what behavior would they have to consider
     - Why does this point answer the question?
     - What does this point show us? Why is this useful?
3. Give a **counter argument** x2 to your point
   - Why something may not be better? If it was what would /would not happen?
   - What behavior would the business have to consider

4. **Evaluation** – conclusion must answer the question
   - Always start off with, "I think that……." This shows **JUDGEMENT** (give a statement)
     - LINK and demonstrate **JUSTIFICATION** in your conclusion (LINK). Why? i.e. what are the objectives of the business? You should aim to make a judgment for the business. What are their goals linked to their needs? Back up/validate it/ what is the context of reaching this decision?
     - Justification x 2 - why is it more important than others? What would be long/short term choice how this response meets objectives.
     - Why is the factor better in this situation?
     - Why does this factor/point win? Why is one agreement better than the other (judgment)
     - Short term /Long term – how could this affect the business decision/behavior

A01 – Knowledge of topic area
A02- Application to case study
A03 – Applied chains of analytical chain of impact (longer chains of argument)
A04 – Evaluative comment and judgement made

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20 marks Template

Make sure your answer has application throughout

The objective the business is attempting to achieve is....	
Paragraph 1 **POINT**	**One advantage of competitive pricing is....**
	This is because...
IMPLICATION/S	**This will lead to...**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	**Therefore...**
	As a result, ...
Paragraph 2 **POINT**	**However, a disadvantage of competitive pricing is...**
	This is because...
IMPLICATION/S	**This will lead to...**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore...**
	As a result, ...

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Paragraph 3 **POINT**	**One advantage of penetration pricing is….**
	This is because…
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	**Therefore…**
	As a result, …
Paragraph 4 **POINT**	**However, a disadvantage of penetration pricing is…**
	This is because…
IMPLICATION/S	**This will lead to…**
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	**Therefore…**
	As a result, …
Conclusion: **4W's**	
Which option?	**Overall, it is recommended that…..** **(Select what you consider to be the best option to maximise profit)**

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Why?	This is because…
Why reject the other option?	I have rejected the other option because …
What factors does the success of your chosen option depend upon?	The success of this option will depend on…
	It is recommended that…

Spotify is aiming to extend the product life cycle of its music streaming business. Spotify could either focus on marketing strategies in existing markets, such as Europe and the USA, or expand into emerging markets, such as those in Asia.

(e) Evaluate these two options and recommend which **one** is most suitable for Spotify to extend the product life cycle of its music streaming business.

(20)

Blue Text = Application (AO2)	**(1), (2)..= Chains of Analysis (AO3)**	**(EV1).. = Judgements (AO4)**

(1) Extending the life cycle of Spotify's music streaming business by continuing to target existing customers such as those in Europe and North America is the lower cost option. **(2)** This is because Spotify has a strong brand in these markets and an excellent understanding of the needs of these consumers. **(3)** This means that Spotify can extend its product life cycle without needing to invest as much in market research and promotion as they might do if they were targeting new markets such as Asia. **(4)** Therefore, this lowers Spotify's costs and creates funds that can be used for research and development in some new features such as adding virtual

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reality to its music streams. **(5)** As a result, Spotify should achieve their objective to extend the product life cycle of their music streaming platform

(1) However, extending the life cycle by continuing to target the existing markets of Europe and North America is challenging **(2)** because of the greater levels of competition that Spotify will face from rivals such as Apple Music and Google Play compared to the competition in emerging markets in Asia. **(3)** This degree of competition may mean that Spotify is pushed hard on price as these competitors are some of the largest in the world, with incredibly diverse product portfolios, meaning they can afford to run their music subscription services at a loss. **(4)** Therefore, if the larger platforms begin to lower their prices to a level which Spotify cannot maintain, they may begin to gradually lose market share and **(5**) as a result their services will fall into the decline phase of the product life cycle.

(1) Trying to extend the product life cycle by targeting emerging markets in Asia has the advantage of offering greater growth potential. (2) This is because emerging markets will be less saturated, meaning Spotify face less competition for the large number of potential customers in developing nations such as India and China which currently only account for 14% of the market. (3) This strategy of Market Development might lead to Spotify experiencing a rapid increase in the number of paid subscribers which may greatly improve their financial situation. **(4)** Therefore, this potential growth in subscribers and higher profits would not only be extremely favourable for their upcoming stock market flotation but **(5)** will also help them meet their aim of extending the maturity phase of their music streaming.

(1) However, although emerging markets such as Asia offer Spotify less competition there may still be fewer potential subscribers. **(2)** This is because consumers in those nations may not have disposable incomes that are as high as consumers in Europe and North America. **(3)** This may mean that demand for their service may not be as high as expected, especially considering that a music streaming platform would be considered a luxury spend for many households. Consequently, the significant promotional and research costs of moving into the emerging markets may prove to outweigh potential revenues. **(4)** Therefore, even though they will likely increase the number of subscribers and extend the global Spotify brand , there is a significant risk that the move will result in decreased profits and **(5)** as a result could put their long-term survivability at risk.

(EV1) Overall if Spotify are looking to extend the life cycle of their Music streaming service, then seeking to enter emerging markets in Asia will be the better option as it offers a more long-term route to prolonging the sales of their platform. **(EV2)** This is because greater growth potential in these markets significantly outweighs the opportunities in the more stagnant markets in Europe and North America and if Spotify establish themselves quickly in these markets, they will achieve the first-mover advantage which has been crucial to their success in Western markets. **(EV3)** The product development option may be successful for a short period of time, but innovations such as video-streaming and VR are likely to only provide temporary boosts to sales as the highly innovative competitors such as Google could easily imitate and improve upon their services. **(EV4)** Success of the market development option would ultimately depend on Spotify's ability to manage the risks associated with the costs of this expansion, so to improve chances of

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success they could aim to partner with existing phone network providers in these markets to promote their services as this would help to keep the costs at a manageable level.

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Evaluate whether internal or external causes were to blame for Monarch's failure [20]

Business failure is the inability of a business to make enough profit or bring enough revenue to cover its costs. One of the reasons monarch failed was because of poor cashflow. They were overtrading meaning they were spending too much money but there wasn't enough cash in the business so they weren't able to sustain themselves. For example, because Monarch UK was the fifth-largest airline, they might have over predicted their sales and they might have over capacity because they might've hired more staff or they might have bough extra fuel as a result they had too much cash going out and not enough going in so this resulted in poor cash flow management and therefore, internal causes resulted in failure for Monarch airways.

However, it could be argued that a Monarch airways' failure was not due to internal causes for example because of poor management. Monarch airways went into a saturated market and their competitors were offering cheap prices so what they did was they decided to change from a charter airline to a budget carrier. This made them stop offering long distance flights and they were able to offer cheap prices and as a result compete with easyJet and Ryanair. Moreover, they even cut about 700 jobs which meant that less wages had to be paid and as a result operating profit would be higher. Therefore, because they had a good leadership and realized that liquidity was an issue and changed their management of the business and adapted to the business, their failure could not have been due to internal reasons.

On the other hand, it could be argued that their failure was due to external reasons. For example, Monarch entered a very saturated market where they had a lot of competition from low budget airlines like easyJet and Ryanair. This meant that they would lose price conscious customers and as a result, their sales would be low. Moreover, if they have less customers flying Monarch airways it would mean they would make less profit and therefore, would have make enough to cover their costs like operating costs which consists of maintenance of the aircraft, staffs wages etc for example. Therefore, because of this, external reasons are the cause of business failure for Monarch airways.

However, it could be argued that external reasons was not the cause of business failure for Monarch airways because UK left the EU and because of Brexit they would have more tourists because more people would start going on holidays. Furthermore, because then leaving EU would mean they would have new regulations, they received $115 million from Greybull meaning they would've had enough money to support themselves. Additionally, more tourists would mean that their revenue would increase and this would then increase their sales. If their sales are increasing it would mean their gross profit would be higher. Therefore, external reasons would not have resulted in failure for Monarch.

Overall, the reason for Monarch airways failure is not due to external reasons because the fuel prices were low and because fuel is regarded as a raw material it would mean costs for raw materials would be low meaning gross profit would be higher. Therefore, their failure is due to internal reasons like not carrying out market research and learning about competitors, what prices they offer etc.

Teacher Comment:
Uses well developed logical arguments that are fully developed using quantitative and qualitative data to give a balanced comparison. [20 marks]

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Read Extract E in the course booklet before answering question 2.
Hummingbird Bakery could expand using retained profits or by franchising. Evaluate which would be more suitable for the expansion of Hummingbird Bakery [20].

Retained profit is a type of internal finance that investments come from within the business and franchising is the type of external finance which means that investment is from outside the business.

A benefit for hummingbird bakery of using retained profit is in order to expand the business, which doesn't need to be repaid. This type of finance can help the business grow organically as he can use resources from existing profits in order to reinvested into new branches both in London and around in UK. This gives him full control over the business especially with his new bakeries whilst having complete ownership which he could use to discuss any decisions with owners such as in case if he wants to change the recipes, and the equipment used for baking. He can do this by ensuring that each branch is run the same way, or in different ways which would benefit him. Moreover, the expansion would allow the business to keep all its profit and be able to sell fresh products. This will lead to them having a good reputation, resulting in higher profits.

Organic expansion, on the other hand, can be much slower than other methods of expansion because it relies on reinvesting existing resources from profit. This means that if Tarek has limited resources, he may be limited in terms of how quickly and how many hummingbird bakeries he can open, allowing his competitors to expand more quickly as they see Tarek's business succeeding due to the gap in the baking market. This implies that using retained profit has an opportunity cost, as Tarek will have to decide whether he wants to grow organically and keep ownership and profit for himself, or grow faster by using external financing.

Franchising is external method is finance that involves a business selling rights to other businesses so that they can operate by using their brand and their name and sell their products.

Although because Tarek has been approached by several people interested in purchasing a hummingbirds bakery franchise, one advantage of franchising to expand is that it will allow the business to receive money more quickly. Franchising will allow the bakery to grow faster and without risk of debt because franchisees provide all of the resources required to open and operate the business, which means they will have to put in their own money to open a branch, hire more staff, and purchase fresh ingredients, allowing Hummingbird Bakery to grow while utilizing the resources of others. Furthermore, because the franchisee will be responsible for all of their branches and their investment in the business, there will be a lower risk of failure, and Tarek's capital will not be at risk.

However, by selling a franchise, Taker will not be able to keep all of the profits because he will only be paid a percentage of the branch's sales. Furthermore, because Tarek will lose some control over their franchise's operations, the company's reputation may be harmed as a result of the franchisee's poor quality management or dissatisfaction of customers who are used to old hummingbird bakery's cakes. In order to maintain a positive brand image of their American bakeries, he will need to ensure that the franchisees receive high-quality training and that everything is shown to them.

To summarize, if Tarek's goal is to maintain complete control of his business while growing organically, retained profit is the best option because it ensures that Hummingbird Bakery is run to its original standards. If he wants to expand more quickly, he should consider franchising.

Teacher Comment:
Uses well developed logical arguments that are fully developed using quantitative and qualitative data to give a balanced comparison. Information is validity and demonstrates a significant

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argument. Judgement could be developed as business only have 5 stores and do they have the experience to role out franchise [18 marks]

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Evaluate whether baa should look to peruse the growth of the airport to stratify its stakeholders [20]

A stake holder is a party that has interest in a company such as BAA and can either affect or be affected by the business, the primary stakeholders in a typical business such as BAA would be the investors, employees, customers and suppliers.

First of all, growing Heathrow can be beneficial to BAA because it would have the ability to gain 5.9 billion in profit, which can then be used to fund projects which will furthermore improve the airport, and can make Heathrow the national hub airport in Europe, giving it a good recognition and reputation. This profit will grow the company and satisfy the stakeholders and will make the expansion of Heathrow airport very successful, and will also be able to generate funds of 9 billion GBP which will be because of the extra amount of visitors in the UK, as many passengers will use the airport as their main hub when they are travelling from Europe.

On the other hand, the expansion may be very costly to the business as there will be approximately 4.8 billion pounds endured from climate costs and about 7.6 billion billion in building costs, in addition this does not include the removal of the buildings in the surrounding area. Therefore, this project may not be so beneficial to BAA as this can cause cash flow problems and can cause the company to be in a lot of debt, and there may be many unhappy people that live near Heathrow and might complain due to destruction of the building and may have ethical issues because of population and noise.

On the other hand, this may expansion may be beneficial to the UK population because this project will create about 250,000 jobs which will be good for the UK's economy and GDP. There will be many positive externalities as it will be easier for citizens to find jobs and make salaries and therefore will have the ability to spend their income on necessities and luxuries more which will increase GDP ALOT.

However, the project will be a disadvantage to many people as there will be the possibility that they might lose their homes and this can cause a lot of pressure on them as they may be struggling with money and finding a home in time that will suit them. This can cause a lot of damage to BAA and it's reputation as they are not being very compensative or compromising with the people that might be affected and this can cause a lot of customers to stay away and go to other competitors and airports such as Gatwick.

In conclusion, i think that this project will be very beneficial to the country as there will be high boosts in the economy as many people will be able to find jobs and this can also increase tourism. In addition to this will make it easier for Heathrow to be the main hub in Europe due to all these expensive projects but i believe that the business needs to be more ethical and take the citizens surrounding Heathrow into consideration to avoid damage of the reputation.

Teacher comment:
Accurate knowledge supported throughout with effective behavior of Heathrow airport. Development of chains of reasoning which chow causes and arguments. Limited linkage to quantitative data (profits) or issues around how impacts on different stakeholders (i.e. families impact on relocation) this would give validity and signifies to give a balanced

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comparison to move into Level 4. (13 marks Level 3)

Evaluate whether Richard would be correct to move 2 layers of the hierarchy in sterling stores [20]

Delayering is when the action or process of reducing the number of levels in the hierarchy of employees in an organization. An advantage of Richard removing 2 layers of the hierarchy is that the chain of command will be shorter. This is important because one of the issues that Sterling Stores had was that their directors and head office were unaware of the unhappy customer feedbacks. This could impact Sterling Stores by having a quicker communication which would lead Sterling Stores to adapt to customers' feedback much quicker. However, the reason directors were unaware of the feedbacks could be because the lower level staffs might've assumed that the directors will not tell Richard Green about the issue due to his dictator-like role.

Another advantage of Richard removing 2 layers of the hierarchy is that staffs could be more motivated. This is because having 2 less hierarchy levels means that current staffs will have more responsibilities. For example, if they lay-off their food store's manager, current normal staffs could be given more responsibilities such as taking care of fellow employees. This can motivate staff and impact Sterling Stores by increasing the productivity. However, current lower level staff might not want be closer to the CEO Richard Green due to authoritarian leadership style and end up demotivating the staff, causing staffs to want to leave.

A disadvantage of Richard removing 2 layers of the hierarchy is that staff could be overwhelmed by the extra amount of work. For example, if the staff who arranges clothes now have to supervise their fellow colleagues, they might not be able to control them as they have never been trained to stay organized with time and control people. This could impact the staff by demotivating them and reducing the productivity which could affect their food and clothes' quality. Lower quality of their product could lead customers into not wanting to buy Sterling Store's products in the future after its reputation was damaged.

Another disadvantage of Richard removing 2 layers of the hierarchy is that it could cause conflict between employees. This is because more number of staffs will have equal right and will use their right. For example, if staff A arranged 10 rows of clothes while staff B has only done 2. Staff A will not have a boss to report this to but instead will have to tell staff B by themselves. This could damage work relationships between employees and will lead the business into becoming disorganized as staffs won't have to worry about anyone watching them or telling them off. However, this could also increase productivity as some staffs may appreciate honest opinions between each other more as it could motivate staffs to improve themselves even more.

In conclusion, I believe removing 2 layers is not necessary. Although delayering will help information travel faster between levels of the hierarchy, this is not the main issue. The biggest cause of all of Sterling Store's loss of market share and increased labor turnover is due to the CEO's authoritarian leadership. For instance, a director may identify that loss of sales are from the CEO decreasing children's clothes output. But a director will not be comfortable reporting this to the CEO as this is risky to the director's job. So instead, the director ignores the issues and lets the company decline. The only fix to the company's issue is for the CEO to resign or be voted to leave.

Teacher comment:
Well developed logical chain of reasoning with arguments that are developed fully. Quantitative information could have been added into the cost of delayering (redundancy) to give greater competing arguments leading to a fully balanced comparison/judgement *(15 marks).*

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Independent practice record

Track the skill behind the score and choose one action for the next attempt.

DATE	UNIT	QUESTION	SCORE	STRONGEST SKILL	NEXT ACTION

Next-action examples

Integrate two pieces of data | extend the final impact | add a genuine counterargument | compare significance | make the conclusion conditional.

My exam-writing action plan

Choose a small number of high-impact habits and revisit this page after each assessment.

MY STRONGEST AO

AO___ because

_____

MY PRIORITY AO

AO___ because

_____

THE HABIT I WILL USE

_____

_____

HOW I WILL MEASURE IT

_____

_____

ASSESSMENT REVIEW

The question type I need to practise most is:

_____

The strongest evidence in my last answer was:

_____

One analytical chain that stopped too early was:

_____

One competing argument I should have considered was:

_____

My conclusion would be stronger if I:

_____